No Work-No Pay Principle

- A fair day's wage for a fair day's work governs the relation between labor and capital
- If there is no work performed by the employee, there can be no wage or pay
- Where the failure of workers to work was not due to the employer's fault, the burden of economic loss suffered by the employees should not be shifted to the employer

Exception to No Work-No Pay Principle

- When the worker was able, willing, and ready to work but was illegally locked out, suspended or dismissed, or otherwise illegally prevented from working

Equal Pay for Equal Work

- Persons who work with substantially equal qualifications, skill, effort, and responsibility, under similar conditions, should be paid similar salaries
- If any employer accords employees the same position and rank, the presumption is that these employees perform equal work
- Workers performing similar functions and responsibilities under similar working conditions should be paid equally

Exclusions from Equal Work for Equal Pay

1. Farm tenancy or leasehold
2. Household or domestic helpers, including family drivers and other persons in the personal service of another
3. Homeworkers engaged in needlework
4. Workers in registered cottage industries who actually work at home
5. Workers in registered cooperatives when so recommended by the Bureau of Cooperative Development

*Workers in registered microbusiness enterprises are only exempted from the Minimum Wage Law

Wage vs. Salary

Wage	Salary
Paid for skilled or unskilled manual labor	Paid to white-collar workers and denotes a higher grade of employment
Not subject to execution, garnishment, or attachment except for debts related to necessities	Not exempt from execution, garnishment or attachment

Inclusions of Wage

- Wage includes the fair and reasonable value of board, lodging, or other facilities customarily furnished by the employer to the employee
- Wage includes facilities or commodities

Facilities

- Facilities include articles or services, such as board and lodging, for the benefit of the employee or his family
- The term does not include tools of the trade or articles or services primarily for the benefit of the employer or necessary to the conduct of the employer's business

Requirements for facilities to be deducted from the employee's wages:

1. Proof must be shown that the trade customarily furnishes such facilities
2. The provision of deductible facilities must be voluntarily accepted in writing by the employee
3. Facilities must be charged at a fair and reasonable value

Supplements

- Extra remuneration, special privileges, or benefits given to or received by the laborers over and above their ordinary earnings or wages

Minimum Wage

- Lowest wage rate fixed by law that an employer can pay their employees
- Paying less than the minimum wage is illegal

Daily-Paid or Monthly-Paid

- Minimum wage relates to a day's work, which comprises eight (8) hours at most
- A worker is daily-paid if he gets paid for days, he actually worked.
- A worker is monthly-paid if his monthly rate covers all the days of the month
- Employees who are uniformly paid by the month, irrespective of the number of working days therein, with a salary of not less than the established minimum wage, shall be presumed to be paid for all the days in the month, whether worked or not

Formula for Monthly Pay

- Minimum wage rate x 365 / 12

Formula for Daily Pay

- Monthly pay x 12 / 365)

* Employers sometimes use 304, taking into account the employees' leave credits and Sundays

Agricultural and Industrial Rates

- Agricultural wage rates are generally lower than the industrial
- It is the nature of the work which classifies a worker as agricultural or industrial
- The agricultural rate applies to farm work from land preparation to harvesting, while the industrial rate applies to the manufacturing or processing of farm products

Cost of Living Allowance (COLA)

- Most of the time, a wage order issued by a regional wage board announces a new minimum wage with two components: an x amount of base pay and x amount of cost-of-living allowance
- The cost of living refers to the level of prices relating to a range of everyday items or the cost of purchasing those goods and services which are included in an accepted standard level of consumption
- Cost of living allowance is a benefit intended to cover increases in the cost of living
- A cost-of-living allowance becomes part of the basic wage only if it is integrated into it by order of the wage board

Exemptions to the coverage of the rule on minimum wage:

1. Household or domestic helpers
2. Homeworkers engaged in needlework
3. Workers employed in any establishment duly registered with the National Cottage Industries and Development Authority
4. Workers in any duly registered cooperative when so recommended by the Bureau of Cooperative Development and upon approval of the Secretary of the Department of Labor
5. Retail and service establishments regularly employing not more than ten (10) workers, upon application and as determined by the Regional Wage Board
6. Distressed establishments
7. New business enterprises
8. Establishments adversely affected by natural calamities
9. Workers of registered barangay microbusinesses
10. Learners
11. Apprentices
12. Handicapped workers

*Distressed establishments, new business enterprises and establishments adversely affected by natural calamities are exempt only from approval

Exemption of Retail and Service Establishments

- Retail or service establishments regularly employing not more than ten (10) workers may be exempted from the applicability of minimum wage upon application and as determined by the appropriate regional wage board
- Establishments from holiday pay and SIL apply to establishments employing less than ten (10) employees. On the other hand, the minimum wage exemption specifies not more than ten (10). With nine (9) or fewer employees, retail or service establishments are exempt from the minimum wage standard, holiday pay, and SIL

Retail Enterprise

- One engaged in the sale of hoods that are commonly bought by private individuals for personal or household use and is characterized by small sales

Service Enterprise

- Engaged predominantly in providing personal service to individuals for their own or household use

Prohibition Against Diminution of Benefits

- Non-diminution rule
- Benefits given to employees cannot be taken back or reduced unilaterally by the employer, as the benefit has become part of the employment contract, written or unwritten
- The rule against diminution of benefits is applicable if it is shown that the grant of the benefit is based on an express policy or has ripened into a practice over a long period of time and that the practice is consistent and deliberate
- The law prohibits diminution of benefits by the unilateral action of the employer

Bonus

- Given if there is a basis for giving it
- It is an act of generosity, but becomes an obligation when it is made part of the wage
- If it is additional compensation which the employer promised to give without any conditions, then it is part of the wage. If it is paid only if profits are realized, or a certain amount of productivity is achieved, then it is not part of the wage

13th Month Pay

- While a bonus is not a statutory obligation, the 13th month pay is a legal requirement
- All rank-and-file employees are entitled to this benefit, provided that they have worked at least one month during the calendar year
- Managerial employees are excluded, but company policy, practice, or employment contract may cover them

Payment by Results

- Piece-rate method is preferred where the work process is repetitive, and the output is standardized and easily countable

Categories of Piece-rate Workers

1. Those who are paid piece rates which are prescribed in Piece Rate Orders issued by the DOLE Regional Office
   - Wages or earnings are computed by multiplying the number of pieces produced by the pay rate per piece
   - Whatever they earn after working in a particular day shall be their actual earnings even if the work time exceeds eight (8) hours
2. Those who are paid output rates prescribed by the employer which the DOLE does not yet approve
   - The number of pieces produced is multiplied by the rate per piece as determined by the employer
   - If the amount is equal to or greater than the applicable legal daily rate, the worker receives such equal or greater amount. If the amount is lower than the legal daily rate, the employer bears the difference

Regional Minimum Wage Rates

Region	Effectivity	Minimum Wage	
		Non-Agriculture	Agriculture
NCR	SEPT. 26, 2026	P743-P780	P718-P755
CAR	DEC 30, 2025	P505	
I	NOV 19, 2025	P480-P505	
II	NOV. 05, 2025	P500	
III	OCT 30, 2025	P515-P600	P475-P570
IV-A	OCT 05, 2025	P485-P600	
IV-B	JAN 01, 2026	P455	
V	APR 08, 2026	P455-P480	
VI	NOV 19, 2025	P520-P550	
VII	OCT 14, 2026	P542-P582	
VIII	JUN 01, 2026	P440-P470	P422-P452
IX	JUN 01, 2026	P451-P464	P426-P439
X	MAY 01, 2026	P485-P500	P471-P486
XI	MAR 13, 2026	P525-P540	P515-P525
XII	NOV 02, 2025	P443-P460	P433-P450
XIII	MAY 01, 2026	P455-P475	
BARMM	AUG 06, 2026	P426-P461	P401-P436

Regional Minimum Wage for Domestic Workers

Region	Effectivity	Minimum Wage
NCR	FEB 07, 2026	P7,800
CAR	DEC 30, 2025	P6,600
I	NOV 19, 2025	P6,700
II	NOV 05, 2025	P6,500
III	OCT 30, 2025	P6,500
IV-A	MAR 07, 2025	P6,750
IV-B	JAN 01, 2026	P7,000
V	APR 05, 2025	P6,000
VI	NOV 19, 2025	P6,500
VII	OCT 14, 2026	P7,500
VIII	DEC 08, 2025	P5,800-P6,400
IX	MAY 20, 2026	P5,500-P6,000
X	JAN 16, 2026	P6,500
XI	MAR 13, 2026	P6,500
XII	NOV 02, 2025	P6,000
XIII	JAN 03, 2026	P6,500
BARMM	JAN 08, 2026	P5,500

Payment of Wages

- By legal tender
- Payment of wages by check or money shall be allowed when such manner of payment is customary, or when it is necessary because of special circumstances as specified by the Secretary of Labor or as stipulated in a collective bargaining agreement
- Payment of wages through automated teller machines (ATM) is allowed

Burden of Proving Payment of Wages

- Where an employee alleges non-payment of wages, the employer has the burden to prove payment
- If doubts exist between the evidence presented by the employer and the employee, the scales of justice must be tilted in favor of the latter

Time of Payment of Wages

- At least once every two (2) weeks or twice a month at intervals not exceeding sixteen (16) days
- If on account of circumstances beyond the employer's control, the employer shall pay the wages immediately after such force majeure or such circumstances have ceased
- Cash flow difficulty or defaulting clients are not legal reasons not to pay wages on time

Place of Payment

- At or near the place of undertaking

*Wages shall be paid directly to the workers to whom they are due

Exceptions to the direct payment of wages:

1. In cases of force majeure rendering such payment impossible or under other special circumstances to be determined by the Secretary of Labor, in which case the worker may be paid through another person under written authority given by the worker
2. Where the worker has died, the employer may pay the wages of the deceased worker to the heirs of the latter without the necessity of intestate proceedings

Trilateral relationship in contracting

- An employer-employee relationship between the contractor and the employees it hires to perform the contracted work, and a contractual relationship between the contractor and the client that owns the work contracted out
- To the workers, the contractor is the direct employer, immediately obligated under labor laws, while the principal is the indirect employer who is liable if the contractor defaults in its obligations to the workers

Job Contractor

- Someone who carries on an independent business and undertakes the contracted work on his own account under his own responsibility and according to his own method
- Someone who has substantial capital or investment in the form of tools, equipment, machinery, work premises, and other materials necessary to conduct the business

Labor Contracting

- Contracting refers to an arrangement where the principal agrees to farm out a contractor the performance of a specific job within a definite period, regardless of whether the work is to be completed within or outside the premises of the principal
- Legitimate labor contracting refers to job contracting

Circumstances to allow contracting or subcontracting:

1. The contractor or subcontractor is engaged in a distinct and independent business and undertakes to perform the job according to his own manner and method
2. The contractor or subcontractor has substantial capital to carry out the job farmed out by the principal on his account in the form of tools, equipment, machinery and supervision
3. In performing the work, the contractor or subcontractor is free from the control of the principal in all matters connected to the performance of the work except as to the result
4. The Service Agreement ensures compliance with all the rights and benefits for all the employees of the contractor or subcontractor

Mandatory Registration

- Department Order No. 174 mandates the registration of legitimate contractors
- Failure to register shall give rise to the presumption that the contractor is engaged in labor-only contracting
- The contractor is deemed registered on the date of issuance of the certificate of registration
- The certificate is valid for two years unless earlier cancelled, renewable before it expires
- The certificate may not be renewed if SSS, PhilHealth, and other labor standards have been violated

Grounds for Cancellation of Registration

1. Misrepresentation of facts in the application
2. Submission of falsified or tampered application or supporting documents
3. Non-submission of the Service Agreement between the principal and the contractor when required
4. Non-submission of the required semi-annual report
5. Final findings that the contractor has engaged in labor-only contracting or other illicit forms of employment arrangements
6. Non-compliance with labor standards and working conditions
7. Findings of violation of the rights of employees and required contracts
8. Non-compliance with the SSS, the HDMF, Pag-IBIG, PhilHealth, and ECC laws
9. Collecting any fees not authorized by law and other applicable rules and regulations
10. Violations of any provisions of the Labor Code

Rights of Contractor's or Subcontractor's Employees:

1. Safe and healthful working conditions
2. Labor standards such as service incentive leave, rest days, overtime pay, holiday pay, 13th month pay, and separation pay
3. Retirement benefits under the SSS or retirement plans of the contractor or subcontractor
4. Social security and welfare benefits
5. Self-organization, collective bargaining, and peaceful concerted activities, including the right to strike

Labor-only Contracting

- Where the person supplying workers to an employer does not have substantial capital or investment in the form of tools, equipment, machinery, work premises, among others, and the workers recruited by such persons are performing activities which are directly related to the principal business of the employer
- The contractor or subcontractor merely recruits, supplies, or places workers to perform a job for a principal
- Labor-only contracting is totally prohibited

Job Contracting vs. Labor-only Contracting

Job Contracting	Labor-only Contracting
The principal (job owner) farms out to a contractor the performance or completion of a specific job or work within a definite period	The contractor merely recruits, supplies, or places workers to perform a job for the principal
1. Undertakes to perform the contracted job on its own responsibility, according to its own manner and method 2. Has substantial capital to do the job on his own account, manner, and method, and has investment in tools, equipment, machinery and supervision 3. Free from all control of the principal except as to the result 4. Has a Service Agreement with the principal that ensures compliance with all the rights and benefits of the contractor's employees	1. Does not have substantial capital 2. Does not have investments in tools, equipment, machinery, supervision, and work premises 3. Employees recruited and placed are performing activities which are directly related to the main business operation of the principal 4. Does not exercise the right to control the performance of the work of the employee

Worker Preference

- A declaration of bankruptcy or judicial liquidation must take place before the worker's preference may be enforced
- During bankruptcy, insolvency, or liquidation proceedings involving the properties of the employer, the employee's unpaid wages will be satisfied ahead of other claims

Prohibitions Regarding Wages

1. Non-interference in the disposal of wages
2. Wage deduction
3. Deposits for loss or damage
4. Withholding of wages and kickbacks
5. Deduction to ensure employment
6. Retaliatory measures
7. False Reporting

Non-interference in the disposal of wages

- No employer shall limit or interfere with the freedom of any employee to dispose of his wages
- The employer cannot force any employee to purchase merchandise, commodities, or other property from the employer or from any other person

No employer shall make any deduction from the wages of his employees except the following:

1. In cases where the worker is insured with his consent by the employer, and the deduction is to recompense the employer for the amount paid by him as premium on the insurance
2. For union dues, in cases where the right of the worker or his union to check-off has been recognized by the employer or authorized in writing by the worker concerned
3. In cases where the employer is authorized by law or regulations

Allowable Wage Deductions:

1. When the employee is indebted to the employer and such indebtedness has become due and demandable
2. In court awards, but only for debts incurred for food, shelter, clothing, and medical attendance
3. Withholding tax
4. Salary deductions of a member of a legally established cooperative
5. Deductions for payment to third persons, upon written authorization of the employee
6. Union dues
7. Agency fee
8. Deductions for facilities
9. Deductions for loss or damage
10. SSS, PhilHealth, Pag-IBIG premiums

Conditions for payment of lost or damaged equipment to be deductible from employee's wages:

1. The employee is shown to be responsible for the loss or damage
2. The employee is given ample opportunity to show cause why deduction should not be made
3. The amount of deduction is fair and reasonable
4. The deduction from the employee's wages does not exceed 20% of the employee's wages in a week

Withholding of Wages and Kickbacks

- The earned wages must be paid on time and in full
- The employer cannot refuse to pay the wages because the employee has not yet submitted a required report or has violated certain company rules

Criteria for Fixing of Minimum Wage

1. The demand for living wages
2. Wage adjustment vis-à-vis the consumer price index
3. The cost of living and changes or increases therein
4. The needs of workers and their families
5. The need to induce industries to invest in the countryside
6. Improvements in standards of living
7. The prevailing wage levels
8. Fair return on the capital invested and the capacity to pay of employers
9. Effects on employment generation and family income
10. The equitable distribution of income and wealth along the imperatives of economic and social development

Non-Diminution of Benefits

- No wage order issued by any regional board shall provide for wage rates lower than the statutory minimum wage rates

Requisites for Non-Diminution of Benefits

1. Benefit is founded on a policy which has ripened into a practice over a long period
2. Practice is consistent and deliberate
3. Not due to error in the construction or application of a doubtful or difficult question of law
4. The diminution or discontinuance is done unilaterally by the employer

Wage Distortion

- A situation where an increase in prescribed wage rates results in the elimination or severe contraction of intentional quantitative differences in wage or salary rates between and among employee groups in an establishment, as to obliterate the distinctions embodied in such wage structure effectively
- If the pay advantage of a position over another is removed or significantly reduced by a pay adjustment required by a wage order, such pay advantage should somehow be restored
- The employer and the union shall negotiate to correct the distortions. If there is no union, the employer and workers shall endeavor to correct such distortions
- Negotiated wage increases are valid to correct wage distortions
- A wage order adjusts the minimum level but not the levels above the minimum
- The legal duty to rectify a distortion applies to government-mandated wage increases

Elements of Wage Distortion

1. Existing hierarchy of positions with corresponding salary rates
2. A significant change in the salary rate of a lower pay class without a concomitant increase in the salary rate of a higher one
3. The elimination of the distinction between the two levels
4. The existence of the distortion in the same region of the country

Formula for a just and equitable wage:
Minimum Wage/Actual Salary = % x Prescribed Increase

Wage Order

- Frequency: Wage orders issued may not be disturbed for 12 months from their date of effectivity
- Except: When Congress passes a new law affecting wages or other supervening circumstances
- Effectivity: If it decides to issue a wage order, the wage order takes effect after 15 days from complete publication in at least one newspaper of general circulation in the region

R.A. No. 6727 (Wage Rationalization Act)

- Each region has a regional wage board, which, in fixing the wage level, considers criteria or standards existing in the region
- Since criteria vary from one region to another, the pay levels of comparable jobs also tend to vary among regions

Resolution of Wage Distortion in Organized Establishments

1. The employer and the union shall negotiate to correct the distortions
2. Disputes shall be resolved through the grievance procedure
3. If still unresolved, voluntary arbitration

Resolution of Wage Distortion in an Unorganized Establishment

1. Employers and employees shall endeavor to correct such distortions
2. Disputes shall be settled through the NCMB
3. If still unresolved after 10 calendar days of conciliation, it shall be referred to the appropriate branch of the NLRC for compulsory arbitration
4. Employer cannot declare a lock-out or strike
5. The salary or wage differential does not need to be maintained